

Eicher Motors Ltd

Consumer Discretionary | Two Wheelers | Large Cap | <https://www.eicher.in/>

Company Overview

Eicher Motors Limited, incorporated in 1982, is the listed company of the Eicher Group in India and a leading player in the Indian automobile industry and the global leader in middleweight motorcycles. Eicher has a joint venture with Sweden's AB Volvo to create Volvo Eicher Commercial Vehicles Limited (VECV). VECV is engaged in truck and bus operations, auto components business, and technical

Financial Snapshot

Market Cap	■222,392 Cr	ROE	24.2%	Revenue CAGR	11.0%
P/E	15.62	ROCE	31.1%	PAT CAGR	12.7%
P/B	13.61	Net Margin	24.2%	EPS CAGR	12.5%
EV/EBITDA	19.29	Operating Margin	26.2%	Quality Score	90.00
Dividend Yield	4.4%	Debt / Equity	0.02	Interest Coverage	114.71
Asset Turnover	0.72	EPS	■146.00	Book Value	N/A

Investment Strengths

- High ROE indicates efficient capital utilization.
- Strong profit margins support healthy earnings.
- High operating margin reflects operational efficiency.
- Low debt improves financial stability.
- Comfortable interest coverage reduces financial risk.
- Positive free cash flow strengthens future growth.
- Healthy dividend yield rewards shareholders.
- Excellent overall quality score.

Investment Risks

- Financial metrics should be monitored continuously for future performance.

Cash Flow Intelligence

Healthy Cash Flow

Strong operating cash flow while investing for growth and reducing financing obligations.

Cash Rich

Positive operating and overall cash flow indicate healthy liquidity.

Capital Allocation

Latest Pattern: Reinvestor

Pattern History

Year	Pattern
2012	Reinvestor
2013	Reinvestor
2014	Reinvestor
2016	Reinvestor
2017	Mixed
2018	Reinvestor
2019	Reinvestor
2020	Reinvestor
2021	Reinvestor
2022	Reinvestor
2023	Reinvestor
2024	Reinvestor

Pattern Change Summary

Changed	No
From	Reinvestor
To	Reinvestor